



Republic of the Philippines
Commission on Audit
Commonwealth Avenue, Quezon City

ANNUAL AUDIT REPORT

on the

**CITY OF NAGA,
CAMARINES SUR**

For the Year Ended December 31, 2024



REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
REGIONAL OFFICE NO. V
Rawis, Legazpi city

CITY ACCOUNTANT'S OFFICE
RECEIVED BY: *n/l*
DATE/TIME: *6/25/25*

OFFICE OF THE REGIONAL DIRECTOR

April 14, 2025

Honorable NELSON S. LEGACION

City Mayor
Naga City
Province of Camarines Sur

Dear Mayor Legacion:

We are pleased to transmit the Annual Audit Report on the audit of the accounts and operations of the City Government of Naga, Camarines Sur for the year ended December 31, 2024, in compliance with Section 2, Article IX-D of the Philippine Constitution and Section 43 of Presidential Decree No. 1445, otherwise known as the Government Auditing Code of the Philippines.

The audit was conducted to: (a) ascertain the level of assurance that may be placed on management's assertions on the financial statements; (b) determine the propriety of transactions as well as the extent of compliance with applicable laws, rules, and regulations; (c) recommend agency improvement opportunities; and (d) determine the extent of implementation of prior years' audit recommendations.

The attached Report consists of the Independent Auditor's Report, the Audited Financial Statements, the Observations, and Recommendations, which were discussed with concerned officials and staff, and the Status of Implementation of Prior Years' Audit Recommendations.

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements of the City for the year ended December 31, 2024.

We request that the appropriate action be undertaken on our audit recommendations and that we be informed of the actions taken thereon by accomplishing the attached Agency Action Plan and Status of Implementation (AAPSI) form and submit the same (in hard and electronic copies) within 60 days from date of receipt hereof.

We express our appreciation for the support and cooperation extended to our Auditors by the officials and staff of the City.

Very truly yours,


ELSA T. BALINA
 Director IV

Copy furnished:

1. The Regional Director
Bureau of Local Government Finance, Region V, Legazpi City
2. The Secretary
Department of the Interior and Local Government
Francisco Gold Condominium, Cubao, EDSA, Quezon City
3. The Secretary of the Sangguniang Panglungsod of Naga City
Office of the Sangguniang Panglungsod
City of Naga
4. The City Accountant
City Government of Naga
Naga City, Camarines Sur
5. The Director
National Library of the Philippines
T.M. Kalaw St., Ermita, Manila (e-copy)
6. UP Law Center
Bocobo Hall, UP Law Complex
University of the Philippines, Diliman, Quezon City (e-copy)
7. COA Central Library
Commonwealth Avenue, Quezon City (e-copy)



REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
REGIONAL OFFICE NO. V
PROVINCE OF CAMARINES SUR
PROVINCIAL SATELLITE AUDITING OFFICE
San Jose, Pili, Camarines Sur

Office of the Supervising Auditor

April 11, 2025

Memorandum for –

ATTY. ELSA T. BALIÑA
Regional Director
COA Regional Office No. V
Rawis, Legazpi City

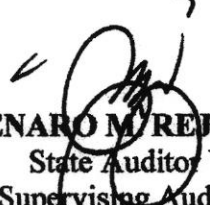
In compliance with Section 2, Article IX-D of the Philippine Constitution and Section 43 of Presidential Decree No. 1445, we conducted Financial and Compliance, Value For Money, and Revenue Audits on the accounts and operations of the City of Naga for the year ended December 31, 2024.

The audits were conducted to: (a) obtain reasonable assurance about whether the financial statements are fairly presented and whether the agency had complied with the existing law, rules, and regulations governing the use/disposition of government funds and property; and (b) determine the economy, efficiency, and effectiveness of the implementation of selected programs/projects/activities for CY 2024.

Audit thrust areas for CY 2024 have been audited which include: 1) Cash and Cash Equivalents; 2) Inventories and Property, Plant and Equipment (PPE); 3) Long Outstanding Cash Advances; 4) Fund Transfers to/from LGUs and NGAs; 5) Accounts Payable; 6) Loans Payable; 7) Other Payables; 8) Revenue; 9) Donations and CSWD Distribution; 10) Utilization of 20% Development Fund; 11) Utilization of Local Disaster Risk Reduction and Management Fund (LDRRMF); 12) Compliance to COA Circular No. 2013-004; 13) Audit of Official Development Assistance (ODA); 14) Payment to Casuals, Job Order, Contractuals and Consultants vis-à-vis the requirements of COA Memorandum No. 2012-010 dated October 17, 2012, and COA Resolution No. 2021-044 dated December 28, 2021; 15) Solid Waste Management; 16) National Task Force to End Local Communist Armed Conflict (NTF ELCAC) Funds; 17) Compliance with deduction and remittance of premium contributions and loans to GSIS, HDMF and PhilHealth; and 18) Gender and Development. On the other hand, a) Status of Implementation of Prior Years' Audit Recommendations has been evaluated and reported as Part III thereof while b) ongoing reconciliation as to the status of actions taken by Management on the Notices of Disallowances with Notices of Finality of Decision (NFD) and COA Orders of Execution (COE) is being conducted by the Audit Team.

The attached Report consists of four parts, namely: Part I - Audited Financial Statements; Part II - Observations and Recommendations, which were discussed with concerned Management officials and staff during the exit conference held on March 27, 2025 ; Part III - Status of Implementation of Prior Years' Audit Recommendations; and Part IV - Annexes.

Our audit was conducted in accordance with generally accepted state auditing standards and we believe that it provides a reasonable basis for the results of the audit.



GENARO M. REFUSO
State Auditor V
Supervising Auditor



REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

INDEPENDENT AUDITOR'S REPORT

Honorable NELSON S. LEGACION
Mayor
City of Naga

Qualified Opinion

We have audited the financial statements of the City Government of Naga, Camarines Sur, which comprise the statement of financial position as at December 31, 2024, and the statement of financial performance, statement of changes in net assets/equity, statement of cash flows and statement of comparison of budget and actual amounts for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, except for the effects of the matters described in the *Bases for Qualified Opinion* section of our report, the accompanying financial statements present fairly, in all material respects, the financial position of the City Government of Naga, Camarines Sur as at December 31, 2024, and its financial performance, its cash flows, and its comparison of budget and actual amounts for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Bases for Qualified Opinion

As discussed in Part II, Observations and Recommendations: accounting and property records of: (a) Property, Plant, and Equipment and (b) Inventory did not reconcile by ₱1,803,199,223.62 and ₱11,294,244.50, respectively.

We conducted our audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the agency in accordance with the ethical requirements that are relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Key Audit Matters

Except for the matters described in the *Bases for Qualified Opinion* section, we have determined that there are no other key audit matters to communicate in our report.

SUBSIDIARY/CONTINUATION

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with PPSASs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

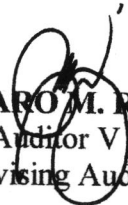
Those charged with governance are responsible for overseeing the CGN's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

COMMISSION ON AUDIT

By:


GENARO M. REJUSO
State Auditor V
Supervising Auditor

14 April 2025

EXECUTIVE SUMMARY

I. Introduction

The City Government of Naga (CGN), a first-class city, was created by the Senate and the House of Representatives through the enactment of Republic Act (RA) No. 305 which took effect on June 18, 1948. Seventy-six years ago, CGN officially became a chartered city, transitioning from its former status as municipality in the Province of Camarines Sur. The CGN occupies an area of 84.48 square kilometers or 32.62 square meters and recorded a population of 209,170 in the 2020 census according to the Philippine Statistics Authority. As of 2022, it had 120,787 registered voters and a labor force of 60,772.

The CGN envisions 'Naga, An Maogmang Lugar', a happy place. By 2030, CGN aspires to be a recognized model of a healthy city: peaceful, vibrant and productive, safe and smart, green and resilient. This vision is driven by excellence and solidarity, enabled by technology, powered by a strong and diversified urban and agriculture economy and enriched by culture and religious diversity.

This vision will be achieved through: (a) People-centered development that promotes and protects the general welfare of Nagueños, especially the vulnerable, in building a more caring and sustainable society; and (b) Collaborative governance, steered by a shared direction and sustained by partnerships between the national and local governments, the private sector, civil society and an empowered citizenry.

Audit Objectives and Scope of Audit

A Financial and Compliance Audit was conducted on the accounts and operations of the CGN for CY 2024. The audit aimed to determine the reliability of financial statements and ascertain on a test basis the validity and propriety of transactions as well as its compliance with laws, rules, and regulations. Likewise, an Evaluation was conducted to assess the economy, efficiency, and effectiveness of the implementation of funded programs/projects/activities (PPAs) of the CGN, with emphasis on the significant audit areas identified in our Engagement Letter dated October 27, 2024.

Furthermore, a review of contracts entered into by Management was conducted to determine the: a) completeness of supporting documents; b) compliance with the RIRR of RA 9184; and c) initial determination that the contract is not disadvantageous to the government. Relative thereto, Completeness of documentary requirements for advances, progress billings and final payments pertaining to procurements of goods/services/consultancy/infrastructure projects were likewise determined.

Operational Highlights

Some of the significant accomplishments of the CGN during the year are as follows:

- a) Official Commencement of Operation of the Naga City General Hospital (NCGH) Phase 1 – The NCGH Phase 1, located at the New Balatas Development Center, with a total cost of ₱348,882,167.67 and sprawls across a 33,199 square meter area was inaugurated on December 12, 2023, which paved the way to its commencement this CY 2024. It functions as a Level 1 hospital with a 95-bed capacity and includes ancillary facilities such as an out-patient department, dietary building, administration office, utility services, a 2-MVA capacity power supply for the entire NCGH compound, a cistern tank, and a pump house.
- b) Construction of 10 Road Projects and 15 Drainage systems – In CY 2024, the CGN completed 10 road projects with a total cost of ₱34,733,680.10 and 15 drainage systems totaling ₱21,587,602.58. These will form part of the Road Networks and Flood Control System being implemented by the CGN.
- c) Establishment of six school buildings and two buildings for NCGH support operations – A total of eight buildings amounting to ₱263,744,993.32 were constructed by CGN. This includes six school building totaling ₱123,954,793.43 which are: (1) Yabu Elementary School, Barangay Carolina; (2) Mac Mariano Elementary School, Barangay Balatas; (3) Balatas High School, Barangay Balatas; (4) Salunguigui Elementary School, Barangay Cararayan; (5) Sta. Cruz National High School, Barangay Sta. Cruz and (6) Salunguigui High School, Barangay Pacol. Two buildings were likewise constructed to support the operations of the NCGH which are: (a) Phase 2A of New Naga City Hospital (land development and construction of multi-purpose and maintenance building) and (b) NCGH Dialysis Center.

II. Financial Highlights

A. – Comparative Financial Position

Particulars	In Philippine Peso (₱)			% of Increase/ (Decrease)
	2024	2023	Increase/ (Decrease)	
Total Assets	6,556,909,850.63	6,526,818,141.79	30,091,708.84	0.46
Total Liabilities	1,465,484,764.52	1,367,679,091.66	97,805,672.86	7.15
Total Equity	5,091,425,086.11	5,159,139,050.13	(67,713,964.02)	(1.31)

B. – Results of Operations

Particulars	In Philippine Peso (₱)			% of Increase/ (Decrease)
	2024	2023	Increase/ (Decrease)	
Total Income	2,000,410,672.74	1,713,489,222.40	286,921,450.34	16.74
Total Expenses	1,794,726,694.65	1,596,459,868.14	198,266,826.51	12.42
Net Surplus	205,683,978.09	117,029,354.26	88,654,623.83	75.75

III. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion because accounting and property records of Property, Plant, and Equipment and Inventory have a discrepancy of ₱1,803,199,223.62 and ₱11,294,244.50, respectively.

IV. Significant Audit Observations and Recommendations

For the exceptions cited above, we recommended that the City Mayor:

- (a) Require the assigned Inventory Committee (IC) to gather and collate all land-related records purporting to CGN's ownership and ensure that land properties to be transferred to rightful beneficiaries by Housing and Settlements Development Office (HSDO) are properly identified and earmarked;
- (b) Prepare a disclosure in the Notes to Financial Statements on the recorded cost of the Land pertaining to the HSDO projects which cannot be derecognized yet despite transfer of ownership to beneficiaries and those capitalized costs for land acquisition but not yet registered in the name of CGN;
- (c) Require the IC on "Roads and Bridges" to timely perform their duties or functions in conducting an actual physical count of PPEs for a specified time, to facilitate proper accounting and reporting and correct classification of fixed properties;
- (d) Direct the reconciliation of records between the General Services Department (GSD), the City Engineer's Office (CEO) and the City Accounting Office (CAO) to present accurate property records;
- (e) Strictly require the offices to promptly submit the necessary documents on the full consumption of supplies and materials to the CAO, to prepare the necessary adjustments before closing its books to avoid overstating the inventory balance. Additionally, direct the concerned department heads to accomplish the Report on the Physical Count of Inventories and Report on the Physical Count Semi-Expendable Property in a timely manner;
- (f) Direct the GSD to prepare the prescribed reports and other documents in compliance with COA Circular No. 2022-004, and furnish the same to CAO for the reconciliation of semi-expendable properties;
- (g) Coordinate with the IC to establish effective policies on the timely submission of complete documentation and preparation of their respective inventory counts as of the end of every semester; and
- (h) Monitor the progress of the inventory system being developed and ensure its implementation in the ensuing year.

The Audit Team communicated the audit observations and recommendations with the CGN through the issuance of Audit Observation Memoranda (AOMs). These were

discussed on March 27, 2025, with the concerned agency officials present during the exit conference conducted and the latter's comments were incorporated in this Report, where appropriate. Likewise, significant audit observations on the evaluation of projects and assessment of the revenue system, together with the corresponding recommendations that need immediate attention and action, are presented as follows:

1. The absence of a complete and comprehensive Local Disaster Risk Reduction and Management Fund Investment Plan (LDRRMFIP) for CY 2024 and the deficiencies noted in the reversions of Local Disaster Risk Reduction Management (LDRRM) funds during the same year were inconsistent with relevant law and regulations.

We recommended that the City Mayor:

- (a) Direct the City Disaster Risk Reduction Management Council (CDRRMC) to prepare a comprehensive LDRRMFIP which includes a listing of projects and activities chargeable against the current year LDRRM Fund appropriation and the unexpended balances from previous years;
- (b) Ensure that the PPAs to be included in the LDRRMFIP are in accordance with the four thematic areas of Disaster Risk Reduction Management (DRRM) which are disaster prevention and mitigation, disaster preparedness, disaster response and disaster rehabilitation and recovery and that which were carefully planned and evaluated by the CGN and its CDRRMC, CEO, City Planning and Development Office (CPDO) and other concerned offices to ensure that the PPAs to be implemented are those which are reflective of the current DRRM needs of the City;
- (c) Seek amendments in Sangguniang Panlungsod (SP) Ordinance No. 128 to correct the terms used concerning the fund sources subject to reallocation to new PPAs; and
- (d) In ensuing periods, in coordination with the CDRRMC and SP, ensure that the resolutions and ordinances to be passed are correct in terms of amounts and that the terms to be used are reflective of the intentions of the parties concerned.

2. Various deficiencies in the recording, utilization and liquidation of transferred funds totaling ₱56,858,905.21 were noted.

We recommended that the Management:

- (a) Facilitate the creation of an effective procedure in monitoring and enforcing the submission of liquidation reports, progress reports and terminal reports of the projects in coordination with concerned departments of the City as well as ensure that the CAO is duly provided with the related Memorandum of Agreement;
- (b) Require the City Accountant to conduct thorough review of the dormant and under reconciliation accounts; and

- (c) Coordinate with the Philippine Sports Commission as to the proper disposition of the ₱30,000,000.00 fund transfer.

3. Implementation of programs totaling ₱10,611,476.25 charged to the cash donations received intended for the disaster response to the destruction caused by the Severe Tropical Storm (STS) "Kristine" were noted with deficiencies, as well as the report on in-kind donations received belatedly submitted.

We recommended that the Management submit the:

- (a) Guidelines on the grant of financial assistance to students totaling ₱6,127,000.00, as well as the lacking authorization letters for JEV No. 2024-11-001484; and
- (b) Consumption reports on the procured medicines and other medical supplies charged to the donated fund.

We also recommended that the Management ensure optimal tracking and monitoring of all donations received related to CGN's disaster response to the destruction caused by STS Kristine to properly account their utilization and balances, if any.

V. Summary of Total Suspensions, Disallowances, and Charges as of Year-End

The status of suspensions, disallowances, and charges as of December 31, 2024, is summarized as follows:

Particulars	Balance as of January 1, 2024 (₱)	CY 2024 (₱)		Balance as of December 31, 2024 (₱)
		Issued	Settled	
Suspensions	40,023,136.73	0.00	117,959.68	39,905,177.05
Disallowances	1,990,965.41	0.00	0.00	1,990,965.41
Charges	0.00	0.00	0.00	0.00
Total	42,014,102.14	0.00	117,959.68	41,896,142.46

*Note: Joint Appeal dated June 29, 2018, on the ND No. 14-001-200(13) in the total amount of ₱1,754,756.00 was filed at COA RO V, Legazpi City

Most of the Notices of Suspension were comprised of unsubmitted Disbursement Vouchers and supporting documents since CY 2009. The Audit Team has not issued yet Notices of Disallowance due to the ongoing retrieval of the accounts and transmittal files.

VI. Status of Implementation of Prior Years' Audit Recommendations

Out of the 108 audit recommendations embodied in the previous years' Annual Audit Reports, 36 or 33.33 per cent were implemented while the remaining 72 or 66.66 percent were not implemented as of March 27, 2025, date of audit exit conference.